

25STCV21044 25STCV21044

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-09-17

Motion: PLAINTIFF'S MOTION FOR SUMMARY ADJUDICATION

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Case Number: 25STCV21044 Hearing Date: September 17, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

WELLS

FARGO BANK, NATIONAL ASSOCIATION,

Plaintiff,

vs.

DIRECT WALLS INC., A CORPORATION; REUBEN L GUNAWAN, AN

INDIVIDUAL, AKA REUBEN GUNAWAN FKA FNU GUNAWAN, AKA GUNAWAN FNU; and DOES

1-20,

Defendants.

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CASE

NO.: 25STCV21044

[TENTATIVE] ORDER RE: PLAINTIFF'S
MOTION FOR SUMMARY ADJUDICATION

Dept. 733

8:30 a.m.

September 17, 2026

I.

INTRODUCTION

On July 17, 2025,

Plaintiff Wells Fargo Bank ("Plaintiff") filed a complaint against Defendants Direct Walls Inc. ("Direct Walls") and Reuben L Gunawan aka Reuben Gunawan fka Fnu Gunawan aka Gunawan Fnu ("Gunawan") ("Defendants"), alleging causes of action for (1) Breach of Contract, (2) Account Stated, (3) Money Lent, (4) Breach of Guaranty, (5) Breach of Contract, (6) Account Stated, (7) Money Lent, and (8) Breach of Guaranty.

Plaintiff alleges

the following. On or about October 13, 2015, Wells Fargo granted a Business Line of Credit under the present account number XXXX-XXXX-XXXX-5667 ("Account 5667") to Direct Walls. (Compl., ¶ 9.) On or about October 4, 2015, Wells Fargo granted a Business Credit Card under the present account number

XXXX-XXXX-XXXX-3954 ("Account 3954") to Direct Walls ("Borrower"). (Id. ¶ 35.) Borrower is in default under both accounts due to the failure to make required monthly payments. Wells Fargo has accelerated payments of the full balance due on the account, and Borrower has failed to repay that amount. (Id. ¶ 12.) The last payment Wells Fargo received on Account 5667 was on August 1, 2024. (Id. ¶ 13.) The last payment Wells Fargo received on Account 3954 was on July 15, 2024. (Id. ¶ 39.)

On May 11, 2026, Plaintiff filed the instant motion for summary adjudication Defendants as to each cause of action in the complaint.

On August 19, 2026, Defendants filed an opposition.

On September 3, 2026, Plaintiff filed a reply.

II.

LEGAL STANDARD

In reviewing a motion for summary judgment, courts must apply a three-step analysis: "(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue." (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.)

"A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if that party contends that the cause of action has no merit or that there is no affirmative defense thereto, or that there is no merit to an affirmative defense as to any cause of action, or both, or that there is no merit to a claim for damages . . . or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (Code Civ. Proc., § 437c, subd. (f)(1).) A motion for summary adjudication shall proceed in all procedural respects as a motion for

summary judgment. (Code Civ. Proc., § 437c, subd.

(f)(2).)

“[T]he initial burden is always on the

moving party to make a prima facie showing that there are no triable issues of material fact.” (Scalf v. D. B. Log Homes, Inc. (2005) 128

Cal.App.4th 1510, 1519.) A defendant moving for summary judgment or summary adjudication “has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd.

(p)(2).) A moving defendant need not conclusively negate an element of plaintiff’s cause of action. (Aguilar v. Atlantic Richfield Co.

(2001) 25 Cal.4th 826, 854.)

To meet this burden of showing a cause

of action cannot be established, a defendant must show not only “that the plaintiff does not possess needed evidence” but also that “the plaintiff cannot reasonably obtain needed evidence.” (Aguilar, supra,

25 Cal.4th at p. 854.) It is insufficient for the defendant to merely point out the absence of evidence. (Gaggero v. Yura (2003) 108 Cal.App.4th 884, 891.) The defendant “must also produce evidence that the plaintiff cannot reasonably obtain evidence to support his or her claim.” (Ibid.)

The supporting evidence can be in the form of affidavits, declarations, admissions, depositions, answers to interrogatories, and matters of which judicial notice may be taken. (Aguilar, supra, 25 Cal.4th at p. 855.)

“Once the defendant . . . has met that

burden, the burden shifts to the plaintiff . . . to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2).) The plaintiff

may not merely rely on allegations or denials of its pleadings to show that a triable issue of material fact exists, but instead, “shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action.” (Ibid.) “If the plaintiff cannot do so, summary judgment should be granted.” (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal.App.4th 463, 467.)

The court must “liberally construe the

evidence in support of the party opposing summary judgment and resolve all doubts concerning the evidence in favor of that party,” including “all inferences reasonably drawn therefrom.” (Yanowitz v. L'Oreal USA, Inc. (2005) 36 Cal.4th 1028, 1037; Aguilar, supra, 25 Cal.4th at pp. 844-45.) “On a summary judgment motion, the court must therefore consider what inferences favoring the opposing party a factfinder could reasonably draw from the evidence. While viewing the evidence in this manner, the court must bear in mind that its primary function is to identify issues rather than to determine issues. [Citation.] Only when the inferences are indisputable may the court decide the issues as a matter of law. If the evidence is in conflict, the factual issues must be resolved by trial.” (Binder v. Aetna Life Ins. Co. (1999) 75 Cal.App.4th 832, 839.)

Further, “the trial court may not weigh the evidence in the manner of a factfinder to determine whose version is more likely true. [Citation.] Nor may the trial court grant summary judgment based on the court’s evaluation of credibility. [Citation.]” (Id. at p. 840; see also Weiss v. People ex rel. Department of Transportation (2020) 9 Cal.5th 840, 864 [“Courts deciding motions for summary judgment or summary adjudication may not weigh the evidence but must instead view it in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party”].)

III.

DISCUSSION

Plaintiff moves for summary adjudication against Defendant as to the causes of action

for: (1) Breach of Contract, (2) Account Stated, (4) Breach of Guaranty, (5) Breach of Contract, (6) Account Stated, and (8) Breach of Guaranty.

1. No

Additional Time for Discovery

As an initial matter, Defendants request for the Court to continue the instant motion on

the grounds that more time is
needed to conduct discovery, specifically:

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Complete account-opening, approval, funding, and
account-maintenance records for Account 5667

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Complete account-opening, approval, funding,
conversion, renumbering, replacement card, product-history, and
account-maintenance records for Account 3954 and any predecessor account ending
in 5243

-

Complete transaction ledgers for both alleged accounts,
from account opening through the date of charge-off or closure, showing all
transactions, payments, credits, fees, interest, adjustments, reversals, and
charge-off entries

-

Documents establishing the connection between the 2015
applications and generic customer agreements, on the one hand, and Accounts
5667 and 3954, on the other

-

Documents identifying the source, meaning, and
calculation of the claimed balances of \$68,270.71 and \$23,730.34

-

Complete statement-delivery records, including the
dates, addresses, and method of delivery for the statements Plaintiff contends
gave rise to an account stated

-

Documents explaining the repeated account-statement
notation and internal identifiers referenced in the produced statements,
including "01DQ5596" and "05/21/24"; and

-

A complete, certified copy of the deposition transcript

and all exhibits on which Plaintiff relies in support of the Motion

According to Code of Civil Procedure

section 437c(h), “[i]f it appears from the

affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just. The application to continue the motion to obtain necessary discovery may also be made by ex parte motion at any time on or before the date the opposition response to the motion is due.”

“[T]echnical compliance with the

procedures of Code of Civil Procedure section 437c is required to ensure there is no infringement of a litigant's hallowed right to have a dispute settled by a jury of his or her peers.” (Bahl v. Bank of Am. (2001) 89 Cal.App.4th 389, 395 (Bahl).)

In Bahl, the appellate court

found that the trial court committed reversible error in denying the plaintiff a continuance of a motion for summary judgment in light of the plaintiff providing the requisite section 437c(h) “affidavit informing the court of outstanding discovery matters and why essential facts could not be presented at the time.” (Id. at p. 399.) The Court found that a trial court may grant a motion for summary judgment “[w]hen lack of diligence results in a party's having insufficient information to know if facts essential to justify opposition may exist, and the party is therefore unable to provide the requisite affidavit under Code of Civil Procedure section 437c, subdivision (h).” (Id. at p. 398.) But, “when a party submits an affidavit demonstrating that facts essential to justify opposition may exist but have not been presented to the court because the party has not been diligent in searching for the facts through discovery, the court's discretion to deny a continuance is strictly limited.” (Ibid.; see also Dee v. Vintage Petroleum, Inc. (2003) 106 Cal.App.4th 30, 34–35 [“To mitigate summary judgment's harshness, the statute's drafters included a provision making continuances—which are normally a matter within the broad discretion of trial courts—virtually mandated....” (Citation).) Where the opposing party submits an adequate affidavit showing that essential facts may exist but cannot be presented timely, the court must either deny summary judgment or grant a continuance.”].)

However, “the virtual mandate to which [Defendants] refer[] presupposes a good faith showing that there are facts in opposition that may exist and a good faith showing why those facts could not have been presented at the time of the hearing.” (Bushling v. Fremont Med. Ctr. (2004) 117 Cal.App.4th 493, 512.) “A good faith showing that further discovery is needed to oppose summary judgment requires some justification for why such discovery could not have been completed sooner.” (Braganza v. Albertson's LLC (2021) 67 Cal.App.5th 144, 156.)

Defendants' counsel's declaration is not Code-compliant. It does not “show why the discovery necessary to oppose the motion for summary judgment or summary adjudication could not have been completed sooner.” (Id. at p. 156-157 [trial court did not abuse discretion for denying a continuance when plaintiff did not describe why the requested discovery could not have been completed before plaintiff's opposition to the motion for summary judgment was due, and why plaintiff's counsel “waited until February 4, 2019—around six weeks after Albertson's motion was filed and served on December 18, 2018—to serve plaintiff's inspection demand”].)

The initial complaint was filed in July 2025 and trial is currently scheduled for February 10, 2027. Even assuming that such documents would present a fact favorable to Defendants to use in opposition to the instant motion, Defendants had over a year to conduct discovery and counsel's declaration offers no facts to explain Defendants' failure to obtain such discovery within that time. (See Cooksey v. Alexakis (2004) 123 Cal.App.4th 246, 257 [“there must be a justifiable reason why the essential facts cannot be presented. An inappropriate delay in seeking to obtain the facts may not be a valid reason why the facts cannot then be presented. . . This lack of diligence may be a factor justifying the refusal to grant a continuance under section 437c, subdivision (h)”].)

Defendants' request for a continuance of the instant motion is denied.

2. Breach of Contract & Account Stated

Plaintiff's breach of contract claims comprise of its first, fourth, fifth, and eighth causes of action. “To

establish a cause of action for breach of contract, the plaintiff must plead and prove (1) the existence of the contract, (2) the plaintiff's performance or excuse for nonperformance, (3) the defendant's breach, and (4) resulting damages to the plaintiff." (Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 97–98.)

Plaintiff's claims

for account stated comprise of its second and sixth causes of action. "An account stated is an agreement, based on prior transactions between the parties, that the items of an account are true and that the balance struck is due and owing. To be an account stated, it must appear . . . that a balance was then struck and agreed to be the correct sum owing from the debtor to the creditor, and that the debtor expressly or impliedly promised to pay to the creditor the amount thus determined to be owing." (Leighton v. Forster (2017) 8 Cal.App.5th 467, 491 [internal citations and quotations omitted].) As such, "[t]he essential elements of an account stated are: (1) previous transactions between the parties establishing the relationship of debtor and creditor; (2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; (3) a promise by the debtor, express or implied, to pay the amount due." (Zinn v. Fred R. Bright Co. (1969) 271 Cal.App.2d 597, 600 [internal citations omitted].)

i.

Account 5667

Plaintiff provides

that on or about October 13, 2015, Direct Walls submitted to Plaintiff a

Business Direct Credit Application

Agreement & Personal Guarantee. (UMF 1-1, Flannery-Brice Decl., ¶ 6, Ex. 1.) The Terms and Conditions of the Application incorporate the Business Line Customer Agreement Effective: August 1, 2013 ("5667 Customer Agreement"). (Id. ¶ 7, Ex. 2.)

Gunawan

signed the Application and personally and unconditionally guaranteed the repayment and satisfaction of all debts and obligations that would be incurred on the business line of credit. (Id. ¶ 8, Ex. 1.) The Application states in pertinent part:

“By signing below,

I also, in my individual capacity (even though I may place a title or other designation next to my signature), jointly and severally unconditionally guarantee and promise to pay to Bank all indebtedness of the Applicant at any time arising under or relating to any credit requested through this application, as well as any extensions, increases or renewals of that indebtedness.

(Ibid.)

In

his deposition, Gunawan also stated that the signature on both Application is “just identical” to his own signature. (UMF 3-2, Ramirez-Browning Decl., ¶ 5, Ex. D at 48:7-19.)

In reliance on the

promises, terms and conditions contained in the Application and Customer Agreement, Plaintiff established a Business Line of Credit for Direct Walls, which is “Account 5667”. (UMF 1-2, Flannery-Brice Decl., ¶ 9.) The Application and Customer Agreement governing Account 5667 require that Direct Walls pay Plaintiff when due, the total of all purchases and advances made on the Account. (Id. ¶ 10, Ex. 2.)

Plaintiff

thereafter advanced monies in accordance with the terms of Account 5667, and otherwise performed all of its obligations thereunder. (UMF 1-4, id. ¶¶ 11, 12.) Specifically, Plaintiff provides its records reflect that account statements reflecting such transactions were delivered to Direct Walls on a regular basis, and that each account statement also indicated the current credit limit, the balance due under the account, and the required minimum payment. (Id. ¶ 11.)

However,

Plaintiff’s records reflect that Direct Walls failed to make the required minimum monthly payments and failed to timely pay amounts due on Account 5667. Wells Fargo last received a payment on Account 5667 on August 1, 2024. (UMF 1-5, 1-6, id. ¶ 13.)

On November 7,

2024, due to the failure to timely pay amounts due, Wells Fargo terminated,

charged off and closed Account 5667. (UMF 7, id. ¶ 14.) Wells Fargo's records reflect the total amount due as of November 7, 2024 was \$68,270.71. (Ibid., Ex. 4 [final account statement].) Plaintiff has made demand on Gunawan for payment of the \$68,270.71 due on Account 5667, and Gunawan did not pay in response to said demand. (Id. ¶ 16.)

The
burden shifts.

ii.
Account 3954

Plaintiff provides
that on or about October 4, 2015, Direct Walls submitted to Plaintiff a

Business Account Application. (UMF 5-1, Flannery-Brice Decl., ¶ 17 Ex. 5.) The Terms and Conditions of the Application incorporate the Visa Business Card and MasterCard Business Card Business Credit Card Customer Agreement Effective: December 1, 2014 ("3954 Customer Agreement"). (Id. ¶ 18, Ex. 6.)

Gunawan
signed the Application and personally and unconditionally guaranteed the repayment and satisfaction of all debts and obligations that would be incurred on the business credit card. (Id. ¶ 19.) The Application states in pertinent part:

"I, along with
each owner signing this Application, jointly and severally unconditionally guarantee in my individual capacity (even though I may place a title or other designation next to my signature), and promise to pay to Bank all indebtedness of the Applicant at any time arising under or relating to this Application and/or the Customer Agreement, as well as any extensions, increases or renewals of that indebtedness."

(Id. ¶ 19, Ex. 5.)

In his deposition,
Gunawan also stated that the signature on both Applications is "just identical"

to his own signature. (UMF 6-2, Ramirez-Browning Decl., ¶ 5, Ex. D at 48:7-19.)

In reliance on the promises, Terms and Conditions contained in the Application and

Customer Agreement, including the personal guarantee of Gunawan, Plaintiff established a Business Credit Card for Direct Walls ("Account 3954"). (Flannery-Brice Decl., ¶ 20.) The Application and Customer Agreement governing Account 3954 require that Direct Walls pay Wells Fargo when due, the total of all purchases and advances made on the Account. (Id. ¶ 21, Ex. 6.)

Plaintiff thereafter advanced monies in accordance with the terms of Account 3954, and

otherwise performed all of its obligations thereunder. (Id. ¶¶ 22-23.) Specifically, Plaintiff's reflect that account statements reflecting such transactions were delivered to Direct Walls on a regular basis, and that each account statement also indicated the current credit limit, the balance due under the account, and the required minimum payment. (Ibid.)

However, Direct Walls failed to make the required minimum monthly payments and failed to timely pay amounts due on Account 3954. Plaintiff last received a payment on Account 3954 on July 15, 2024. (UMF 5-4, Id. ¶ 24.)

On November 24, 2024, due to the failure to timely pay amounts due, it terminated Account 3954, accelerated payment of the full balance due and charged it off, and delivered a final account statement to Direct Walls setting forth such activity. Plaintiff's records reflect the total amount due as of November 24, 2024 was \$23,730.34. (UMF 5-5, 5-6, id. ¶ 25, Ex. 8 [final account statement].) Plaintiff has made demand on Gunawan for payment of the \$23,730.34 due on Account 3954. (UMF 6-11, id. ¶ 27.) Gunawan did not pay the \$23,730.34 due on Account 3954 in response to Wells Fargo's demand for payment. (UMF 6-12, *ibid.*)

Lastly, in his

deposition, in response to the question “[Plaintiff] contends that you owe \$23,730.34. Do you have any information that that number is wrong?” with “No.” (Ramirez-Browning Decl., Ex. D at 55:7-11.)

The burden shifts.

iii.

Defendants’ Position

In

opposition, Defendants argue that the “[t]he alleged application for Account 5667 is dated October 3, 2015. Plaintiff alleges that Account 5667 was established on or about October 13, 2015. The application itself does not identify Account 5667, an approval number, an account-opening number, a funding date, a credit limit, or an account-level balance.” (Opp. at p. 5.) According to Defendants, “[t]he generic Business Line Customer Agreement likewise does not identify Direct Walls, Account 5667, the asserted account-opening date, or the claimed \$68,270.71 balance. Although that document may describe general Business Line terms, Wells Fargo has not submitted account-opening, approval, funding, account-maintenance, or complete ledger records connecting that generic agreement to Account 5667.” (Id. at pp. 5-6; see Gunawan Decl., ¶ 5.)

This

does not create an issue of fact. As provided above, Ms. Flannery-Brice, who is the Lead Workout Specialist with Plaintiff and one of the authorized custodians of records for Plaintiff, establishes that Direct Walls submitted the Business Direct Credit Application Agreement & Personal Guarantee, that Plaintiff established the Business Line of Credit (Account 5667) in reliance on that application, that Direct Walls drew on the account, and that Plaintiff delivered statements and ultimately the November 7, 2024, charge-off statement showing the \$68,270.71 balance. (UMF 1-2.) The same chain of proof establishes the credit-card account: the Business Account Application, establishment of Account 3954, use of the account, delivery of statements, and the November 24, 2024, charge-off statement showing \$23,730.34. A custodian’s declaration that computerized account records and monthly billing statements were kept in the ordinary course of business is competent to authenticate those statements as business records. (Evid. Code §§ 1271, 1400.)

While

Defendants emphasize that the Business Line application for Account 5667 is dated October 3, 2015 while the account was established on or about October 13, 2015. (Sands Decl., ¶ 5.) However, this is not an issue of fact that places Plaintiff's evidence supporting the causes of action in dispute. It merely reflects that Plaintiff created the account after receiving the application.

As

for Defendants' assertion that "[Plaintiff] has not submitted account-opening, approval, funding, account-maintenance, or complete ledger records connecting that generic agreement to Account 5667[.]" Defendants have provided no authority to support the notion that such documents are necessary to establish Plaintiff's breach of contract claims.

Defendants

lastly provide Gunawan's declaration for the contentions that Gunawan does not "recall" signing the Business Line Application for Account 5667 and that the signature on the Business Line Application for Account 3954. (Gunawan Decl., ¶¶ 3-4.)

First,

"summary judgment may be denied in the discretion of the court if the only proof of a material fact offered in support of the summary judgment is an affidavit or declaration made by an individual who was the sole witness to that fact; or if a material fact is an individual's state of mind, or lack thereof, and that fact is sought to be established solely by the individual's affirmation thereof." (Code Civ. Proc., § 473c(e).)

Second,

"an individual is capable of recognizing his or her own personal signature. If the individual does not deny that the handwritten personal signature is his or her own, that person's failure to remember signing is of little or no significance." (Iyere v. Wise Auto Grp. (2023) 87 Cal.App.5th 747, 757.)

Third,

it is well-established in California that a declaration must be disregarded if in conflict with deposition testimony. (See D'Amico v. Board of Medical Examiners (1974) 11 Cal.3d 1, 25 ("D'Amico").) As stated above, Gunawan testified at his

deposition that his signatures on the Applications, are “just identical” to his own signature. Thus, Gunawan’s attempt to introduce a self-serving declaration opposing that concession will not be considered.

Defendants

have otherwise failed to provide any evidence sufficiently demonstrated that a triable issue of material exists enough to avoid summary adjudication as to claims at issue. Defendants have failed to meet their burden.

Plaintiff’s motion

is granted.

IV.

CONCLUSION

Based on the

foregoing, Plaintiff’s motion for summary adjudication is GRANTED in its

entirety.

Any issues

regarding attorney’s fees will be dealt with through a separately noticed motion.

Dated this 17th

day of September 2026

Hon. Gary

D. Roberts

Judge

of the Superior Court